



Life Assurance Sector Report



For the Half-Year
Ended 30 June 2021

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This report relates to life assurance business written by Life assurers and reinsurers only.

Growth referred to in this report is nominal growth unless stated otherwise.

* Income statement figures were adjusted using year-on-year inflation of 106.6 % reported for the month of June 2021. Source:

<https://www.rbz.co.zw/index.php/research/markets/inflation>

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Abbreviations

GPW	Gross Premium Written
IPEC	Insurance and Pensions Commission
MCR	Minimum Capital Requirement
PA	Prescribed Assets/Securities as defined by the Insurance Act [Chapter 24:07]
S.I	Statutory Instrument
TCF	Treating Customers Fairly
ZICARP	Zimbabwe Integrated Capital and Risk Programme

A hand holding a globe with financial and social icons. The globe is semi-transparent and contains icons for a dollar bill, a car, a house, and a family of four. The background is a solid dark blue.

SECTION A

EXECUTIVE SUMMARY

1. Executive Summary

- 1.1. For the six months ended 30 June 2021, the life assurance sector was composed of 12 direct life assurance companies, four (4) composite reinsurance companies and 1,346 agents.
- 1.2. Statistics for this report are based on the submission of 11 (eleven) returns. Heritage Life Assurance failed to submit returns and was therefore, omitted from the report.
- 1.3. Gross Premium Written (GPW) by direct life assurance companies for the six months ended 30 June 2021 amounted to ZW\$7.4 billion, representing a nominal increase of 524% from ZW\$1.18 billion reported in the comparative period in 2020.
- 1.4. In inflation-adjusted terms, GPW experienced a growth of 202.27% to ZW\$3.57 billion indicating a strong growth in premiums above the 106.6% year-on-year inflation.
- 1.5. Growth in nominal GPW for the half-year ended 30 June 2021 was mainly driven by increases in funeral assurance and Group Life Assurance business. Funeral and Group Life assurance business grew by 909.83% and 482.32% contributing premiums to the tune of ZW\$4.49 billion (60.68%) and ZW\$802 million (10.84%) respectively, to the total business by the life assurers.
- 1.6. The Commission urges the life assurance sector to continuously improve their product offerings for traditional life assurance products and align them to the current business environment for them to remain relevant. Sector players also need to find sustainable solutions to the disruptions brought about by Covid-19.
- 1.7. There is need for the sector players to re-engineer their business models considering the evolving operating environment, to increase their level of resilience to the ever-changing macroeconomic environment. All the eleven (11) life assurance companies who submitted their returns reported capital positions that complied with the prescribed minimum capital requirements of ZW\$75 million as at June 2021.
- 1.8. The Commission continues to urge the players to always maintain capital levels that are compliant with the required minimum capital requirements for the comfort of the insuring public and the insurers themselves in times of bad claims experience.
- 1.9. As at 30 June 2021, direct life assurers had an asset base of ZW\$55.1 billion, reflecting a 14% nominal growth as compared to ZW\$48.2 billion that was reported as at 31 March 2021.
- 1.10. Growth in the asset base for the sector was mainly driven by large increases in the values of equity and property investments in response to exchange rate movements and inflation developments.
- 1.11. As at 30 June 2021, the average prescribed assets ratio for life assurers stood at 0.326%. None of the Life Assurers was compliant with the minimum prescribed asset ratio of 15%.
- 1.12. Players in the Life Assurance sector continue to struggle to comply with the required prescribed asset ratio, as growth in other assets continue to outstrip the growth in prescribed assets.
- 1.13. However, the Commission is closely monitoring the implementation of the compliance plans of sector players to ensure compliance with prescribed asset requirements. Meanwhile the

Commission now awaits the submission of prospective prescribed asset projects for consideration. In view of these developments, the Commission is set to escalate the enforcement of provisions of SI 206 of 2019 to cause compliance given the olive branch extended to the industry.

- 1.14. In terms of profitability, the life assurance sector reported a 64% decline in profit after tax from ZW\$34.12 billion for the six months ended 30 June 2020 to ZW\$12.32 billion during the comparative period in 2021.

Table 1: Summary of key financial indicators

	Life Assurance				Life Reassurers			
Financial aspect	Jun-2020	Jun -2021	Jun-2021 Inflation adjusted	Growth (Inflation adjusted)	Jun- 2020	Jun- 2021	Jun2021 Inflation adjusted	Growth (Inflation adjusted)
GWP (ZW\$000)*	1 178 013	7 368 928	3 566 761	202%	41 813	237 568	114 998	175%
NWP (ZW\$000)	1 155 534	7 178 460	3 474 569	201%	33 309	197 963	95 820	188%
Claims (ZW\$000)	653 905	2 549 600	1 234 076	89%	4 972	131 756	63 774	1183%
Management operating expenses (ZW\$000)	437 600	2 673 546	1 294 069	196%	5 278	20 501	9 923	88%
Commissions (ZW\$000)	34 540	404 527	195 802	467%	7 356	33 766	16 344	122%
Technical costs (ZW\$000)	1 126 045	5 627 673	2 723 947	142%	17 606	186 023	90 041	411%
Profit after tax (ZW\$000)	34 115 359	12 321 970	5 964 167	-83%	90 164	438 456	212 225	135%
Financial aspect	Mar -21	Jun -21	Growth %		Mar -21	Jun -21	Growth	
Total Assets (ZW\$000)*	48 199 960	55 117 507	14%		1 886 630	2 554 487	35%	
Total Liabilities (ZW\$000)	23 933 111	26 907 129	12%		945 219	1 230 464	30%	
Capital (ZW\$000)	24 266 849	28 210 377	16%		941 412	1 324 023	41%	
Capital to liability ratio	101%	105%	3%		100%	108%	8%	
Prescribed assets (ZW\$000)	148 595	162 409	9%		35 565	44 806	26%	
PA ratio %	0.31%	0.33%	0.02%		9%	2%	-7%	



SECTION B

ABOUT THE COMMISSION

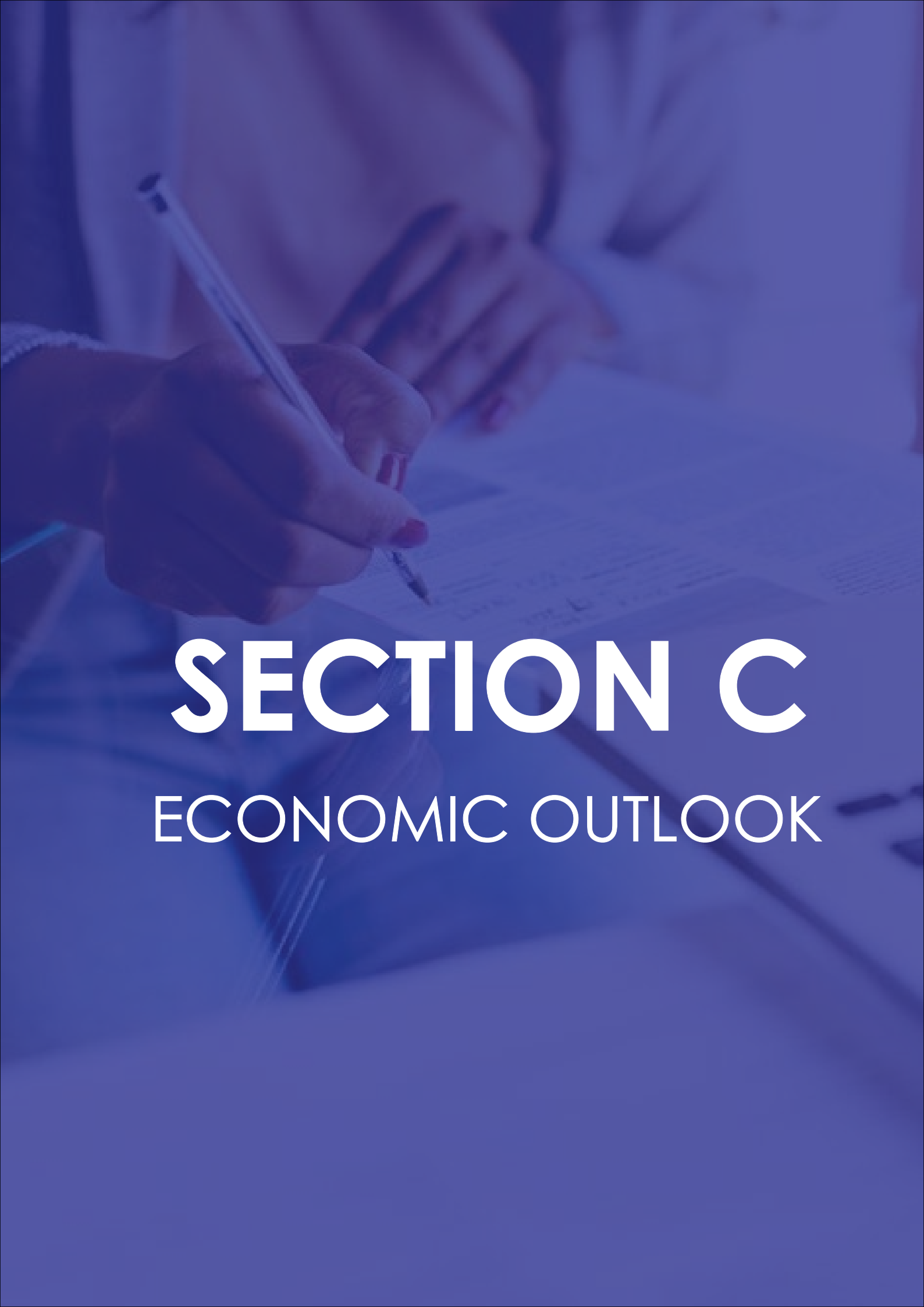
2. About the Commission

- 2.1 The Insurance and Pensions Commission (IPEC) is a statutory body mandated with regulating, supervising and developing the insurance and pensions sector for the protection of policyholders and pension scheme members in Zimbabwe.
- 2.2 This report outlines the Life assurance sector developments and IPEC's various activities in the life assurance sector consistent with its statutory mandate during the six months ended 30 June 2021.

Terms of Reference

- 2.3 The activities of the Commission are guided by the following Acts and their Regulations:
- Insurance and Pensions Commission Act [Chapter 24:21];
 - Pension and Provident Funds Act [Chapter 24:09];
 - Insurance Act [Chapter 24:07];
 - Money Laundering and Proceeds of Crime Act [Chapter 09:24];
 - Finance Act [Chapter 23:04];
 - Public Entities and Corporate Governance Act [Chapter 10:31];
 - Public Finance Management Act [Chapter 22:19]; and
 - Public Procurement and Disposal of Public Assets Act [Chapter 22:23]





SECTION C

ECONOMIC OUTLOOK

3 . ECONOMIC DEVELOPMENTS

3 . 1 Covid-19 Updates

Globally Covid-19 incidences remain very high, with the cumulative number of cases reaching over 180 million and the number of deaths nearly 4 million as at 30 June 2021 (WHO, 2021). The battle to contain the Covid-19 pandemic is still ongoing with vaccines continuously being administered to various population groups. According to the IMF (2021), as of the end of June 2021, about 3 billion doses had been administered worldwide, nearly 75 percent of those are in advanced economies and China. In low-income countries, less than 1% of the population had received one dose. This indicates that the rollout of vaccines is highly unequal and skewed more towards advanced economies. Procurement and logistical hurdles continue to cripple vaccination efforts at a global level. This leads to a slower pace of vaccination than anticipated.

As at 30 June 2021, Zimbabwe had 49 864 confirmed cases, 39 121 recoveries and 1 789 deaths. A total of 777 161 people has been vaccinated against Covid-19. The second quarter national recovery rate was 78%, 16 percentage points lower than the end of first quarter recovery rate of 94%.

3.2 Covid-19 Impact on Businesses at Global and National Level

The Covid-19 pandemic has accelerated digital transformation across the board, with businesses adjusting operations to cope with lockdowns, restricted movement of staff and supply interruptions.

The pandemic continues to have a dampening effect on tourism-reliant economies and is further exacerbating domestic challenges in low-income countries. Covid-19 related controls continue to disrupt business operations due to reduction in operating hours, constrained investment, and disrupted schooling.

In Zimbabwe, total tourist arrivals declined by 90% to 65,882 recorded in the first quarter of 2021 compared to the 639,356 arrivals registered in the corresponding period in 2020. All the regions in the country suffered declines in the in average hotel occupancies ranging from 5% to 28%, with no region recording average room occupancies exceeding 25%. The Victoria Falls region, a prime tourist destination in the country, recorded the worst decline of -28% followed by Bulawayo region which had -19%. Thus, tourism sector players are operating below full capacity, and some have retrenched part of their workforce as a way of cutting operating costs.

The pandemic also impacted the real estate sector in which the insurance and pensions industry is significantly invested in, as remote working becomes the new normal. Working from home

reduced the demand for office space in the real estate sector leading to low turnover based rentals for retail properties.

The Confederation of Zimbabwe Industries anticipates the manufacturing sector capacity utilisation to increase to 61% in 2021 from 47% in 2020, on the backdrop of increased Covid-19 vaccination drive amidst other factors such as exchange and price stability.

3.3 Regulatory responses to Covid-19

Financial sector regulators including IPEC adapted to the new normal of doing business through the facilitation of remote working for staff, enhanced offsite monitoring, and conducting of virtual meetings and workshops. Regulators have been monitoring the implementation of business continuity plans and offering regulatory relief measures, allowing for flexibility on statutory deadlines to ensure that insurance companies and pension funds continue to offer uninterrupted service delivery in the face of the Covid-19 pandemic. Risk monitoring of supervised entities continues to be enhanced particularly on their solvency and liquidity conditions in light of the pandemic.

Regulators have also been advocating for enhanced consumer protection and support of policyholders or pension members adversely affected by the Covid-19 pandemic. Some of the support measures include an extension of premium payments grace periods to avoid policy lapses and allowing members experiencing financial hardships, to temporarily access part of their retirement savings to cushion them from the effects of the Covid-19 pandemic. Regulators have also been encouraging the regulated entities to strengthen their cybersecurity measures.

3.4 Global and Regional Growth Prospects

The world economy is experiencing an exceptionally strong but uneven recovery. The IMF projects the global economy to grow by 6.0% in 2021 and 4.9% in 2022. The IMF projected growth rates are more optimistic when compared to those of the World Bank of 5.6% in 2021 and 4.3% in 2022. The growth forecasts, however, could be undermined by the inefficacy of Covid-19 vaccines being rolled out against the emerging variants, and delays in vaccinations.

The revised growth rates for advanced economies were forecast to reach 5.6% in 2021 and 4.4% in 2022 (IMF, 2021). The growth prospects are being driven by fiscal support and monetary accommodation in the United States and countries within the Euro Zone area. However, vaccine hesitancy and global spill-overs may undermine advanced economies GDP growth in 2021 and 2022 by about 0.75 percentage points.

The emerging markets and developing economies (EMDEs) growth is expected to reach 6.3% in 2021 and 5.2% in 2022 (IMF 2021). The improvement in external demand and higher commodity

prices lift the overall aggregate activity in EMDEs. However, the rate of growth is low because of the resurgence of new Covid-19 cases, lagging vaccination, and partial withdrawal of macroeconomic policy support. Table 2 summarizes the global economic outlook projections.

Table 2: World Economic Outlook Projections

	2020	2021*	2022*
World Output	-3.3	6.0	4.9
Advanced Economies	-4.7	5.6	4.4
USA	-3.5	7.0	4.9
Euro Area	-6.6	4.6	4.3
Emerging Markets and Developing countries	-2.2	6.3	5.2
China	2.3	8.1	5.7
Sub-Saharan Africa	-1.9	3.4	4.1
Nigeria	-1.8	2.5	2.6
South Africa	- 7.0	4.0	2.2
Zimbabwe	-4.1	7.8	5.4

Source: July 2021 World Economic Outlook Update, IMF. * Projections

Economic activity in Sub-Saharan Africa is expected to expand by 3.4% in 2021 and 4.1% in 2022. Positive spill-over effects from strengthening global activity, improved international control of the Covid-19 pandemic, and strong domestic activity in agricultural commodity exports are expected to drive the growth. Nonetheless, the recovery is rather slow compared to the rest of the world in 2021 and is anticipated to remain fragile due to subdued capital inflows into the region and uncertainty concerning the course of the pandemic. Tourism based countries were the most affected due to subdued tourist inflows. For example, significant declines were experienced in international tourists' arrivals in countries such as Namibia (-87%), South Africa (-73%) and Zimbabwe (-90%) during the first quarter of 2021 compared to similar period in 2020 (Zimbabwe Tourism Authority, 2021).

3.5 Domestic Economic Performance

The Ministry of Finance and Economic development projects growth of 7.8% in 2021 and 5.4% in 2022. The forecast growth rates are underpinned by: -

- (i) Covid-19 recovery,
- (ii) firming international mineral prices,
- (iii) resumption of global economic activity,
- (iv) good agricultural season,
- (v) domestication of value chains, and
- (vi) enhanced revenue collection among others.

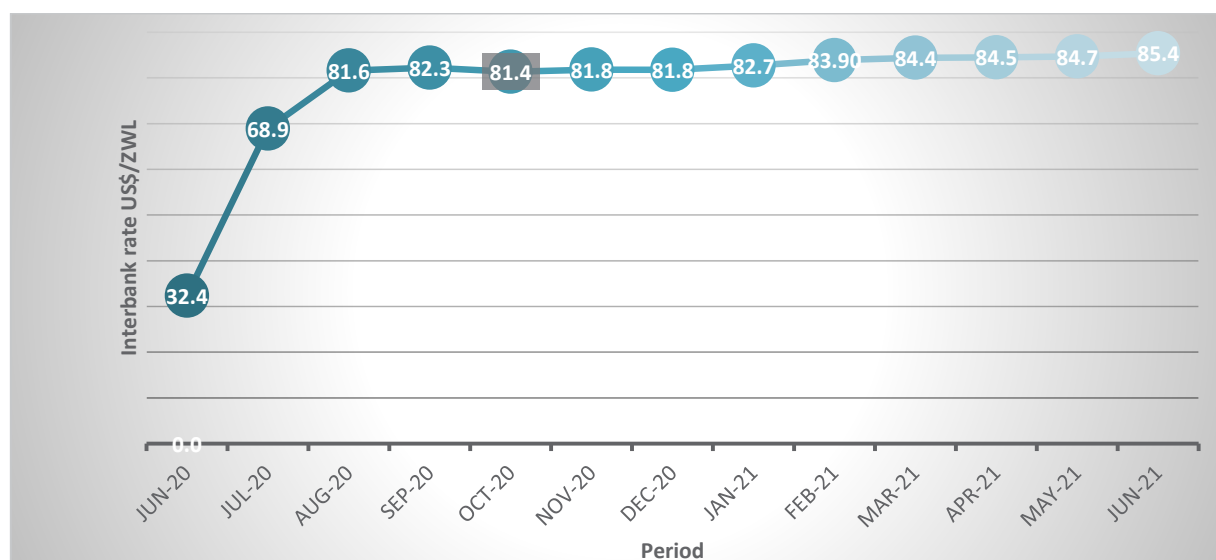
The 2021 growth projection is premised on the revised sectoral growth projections: agriculture, hunting and fishing and forestry (34.0%), mining and quarrying (2.0%), electricity (13.9%), manufacturing (7.0%), construction (7.7%), accommodation and food services (6.4%), transportation and storage (4.9%), finance and insurance (4.5%), and real estate activities (1.1%).

The International Monetary Fund projected a 6% growth rate for Zimbabwe in 2021. Thus, almost doubling its economic growth forecast for the country when compared to 3.1% projected in April 2021. The World Bank¹ projected lower economic growth rates for the country of 3.9% in 2021 and 5.1% in 2022.

3.6 Exchange Rate Movements

The Zimbabwe dollar traded steadily against the US dollar during the second quarter. It depreciated marginally by 1.2%, from a rate of ZW\$84.4 per US\$1 on 1 April 2021 to ZW\$85.4 per US\$1 as at 30 June 2021. The monetary targeting framework has helped to contain money supply growth, which in turn has stabilised the exchange rate and eased inflationary pressures in the economy. The exchange rate stability enables the industry to make long term investment decisions, allows for the efficient allocation of resources, improves economic growth predictability, and ensures local currency value preservation. The interbank exchange rate movements during the period June 2020 to June 2021 are illustrated in Figure 1.

Figure 1: Interbank Exchange Rate June 2020 to June 2021 (US\$/ZW\$) – End of Period



Source: Reserve Bank of Zimbabwe

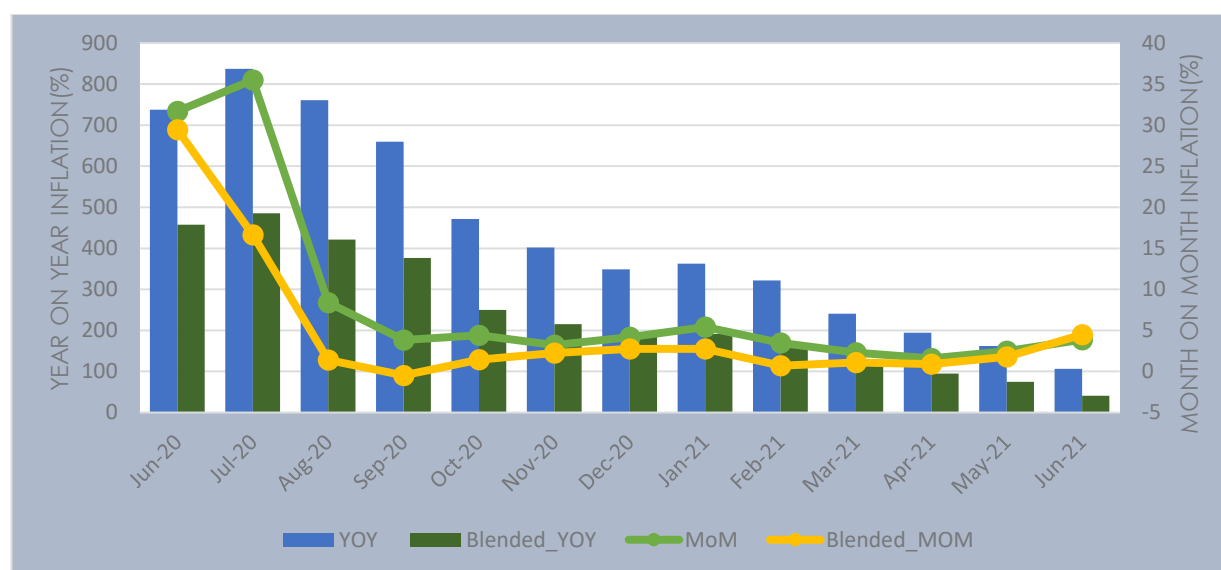
¹ June 2021 World Bank Zimbabwe Economic Update: Overcoming Economic Challenges, Natural Disasters, and the Pandemic: Social and Economic Impacts

3.7 Inflation Developments

The annual headline inflation stood at 106.6% in June 2021, down from 194.1% registered in April 2021, supported by a conservative monetary policy, prudent fiscal policy and stable exchange rate. The annual blended inflation was also on the negative trend during the quarter under review, registering a rate of 40.9% in June 2021, which is 53.8 percentage points lower than the rate of April 2021 of 94.7%. The annual inflation is expected to decline to levels between 22% and 35% by December 2021 (Ministry of Finance and Economic Development, 2021).

The month-on-month inflation rate increased from 1.6% in April 2021 to 3.9% in June 2021 driven by the increase in food, non-food, and non-alcoholic beverages inflation. The month-on-month food and non-alcoholic beverages inflation rate stood at 3.21% in June 2021, gaining 2.26 percentage points on the May 2021 rate of 0.95% while the month-on-month non-food inflation rate stood at 4.38%, gaining 0.63 percentage points on the May 2021 rate of 3.75%. Figure 2 illustrates the inflation profile for the period of June 2020 to June 2021.

Figure 2: Inflation profile (%), June 2020 - June 2021



Source: Zimbabwe National Statistics Agency

The high levels of inflation have impacted on investment asset mix of regulated entities. Asset managers tend to reduce investments in fixed income instruments because they yield negative real returns. Thus, the regulated entities have to be active in creating assets which meet prescribed asset requirements whilst offering good returns.

3.8 Zimbabwe Stock Exchange Performance Highlights

The Zimbabwe Stock Exchange (ZSE), which is a major investment destination for insurance companies and pension funds exhibited a bullish trend as equities continued to benefit from inflation hedge attractiveness during the period under review. Currency depreciation and uncertainties posed by the pandemic on the economy continue to favour equities. Despite the

current overvaluation on the ZSE, equities remain a better choice of investment for investors holding the local currency. The increase in liquidity also continues to drive gains on the market. The second quarter of 2021 saw the equities market performing strongly, resulting in all major indices registering gains. The All Share and Top 10 indices registered increases of 39.8% and 22.2% to close at 6194.88 and 3154.44 points during the quarter respectively. The volume of shares traded increased by 63.89% to ZWL\$45.71 million in the second quarter of 2021. Table 3 shows the changes in the key stock market indicators.

Table 3: Changes in the key stock market indicators

ZSE Indicator	Mar-2021	June-2021	Change (%)
All share index (points)	4432.50	6194.88	39.8 ↑
Top 10 Index (points)	2580.33	3154.44	22.2 ↑
Medium Cap Index (points)	10487.48	17293.13	64.9 ↑
Small Cap Index (points)	47327.53	201439.50	325.6 ↑
Mining Index (points)	5532.09	6308.43	14.03 ↑
Volume of shares traded (ZW\$ million)	27.89	45.71	63.89 ↑
Market turnover (ZW\$ million)	463.29	743.61	60.51 ↑

Source: Zimbabwe Stock Exchange (ZSE)

The All-Share Index and Top 10 Index registered gains during the quarter under review. Figure 3 illustrates the performance of these two indices between June 2020 and June 2021.

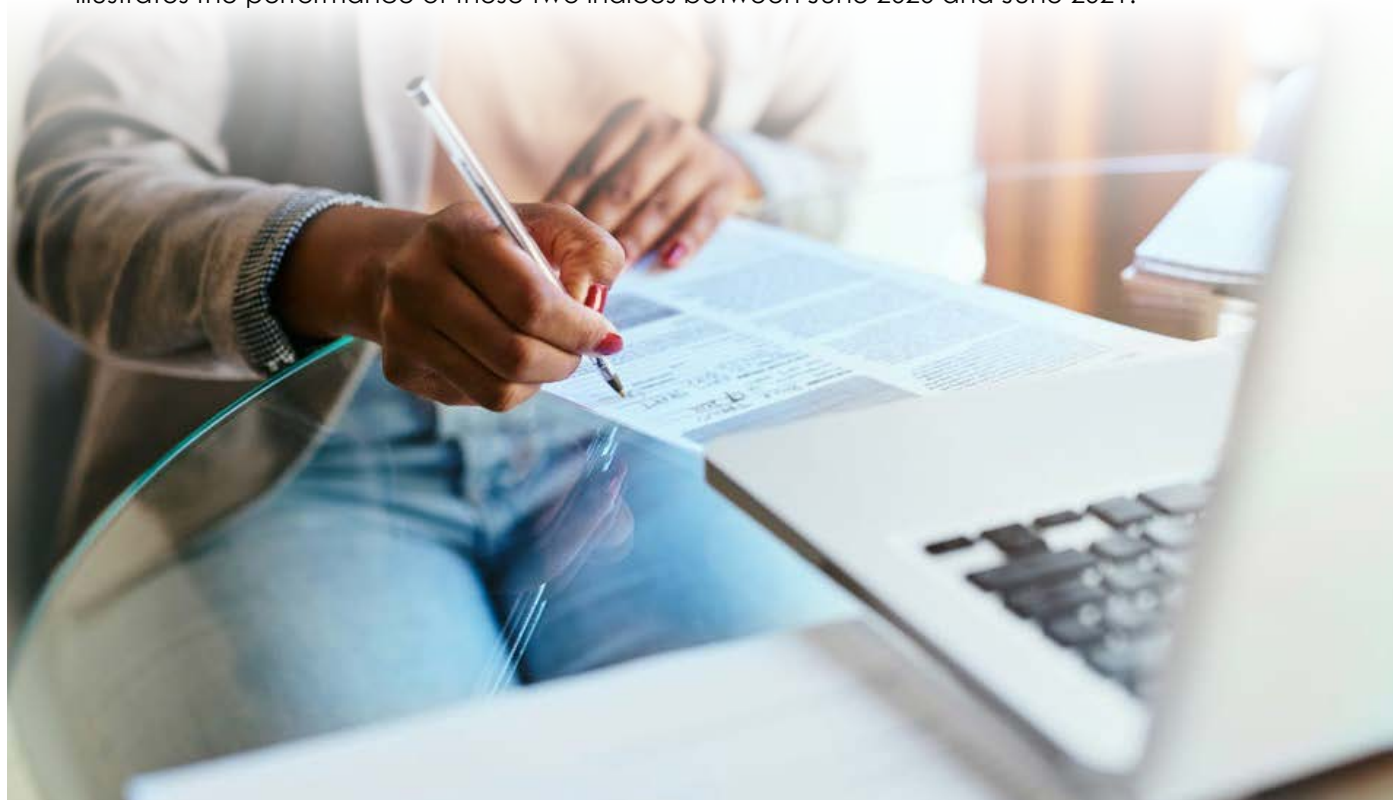
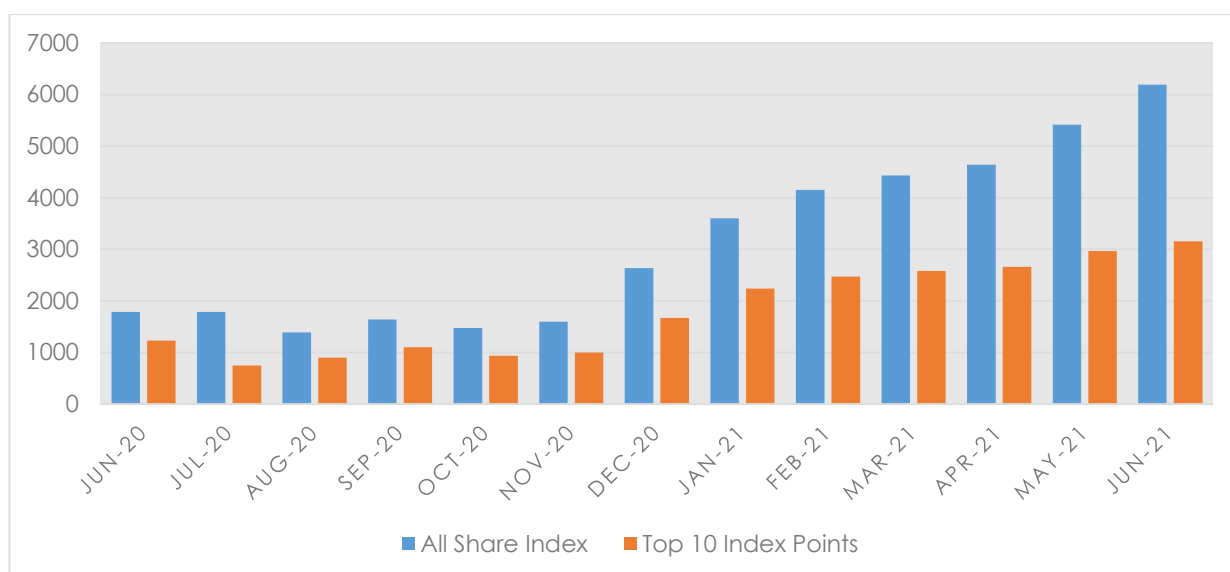


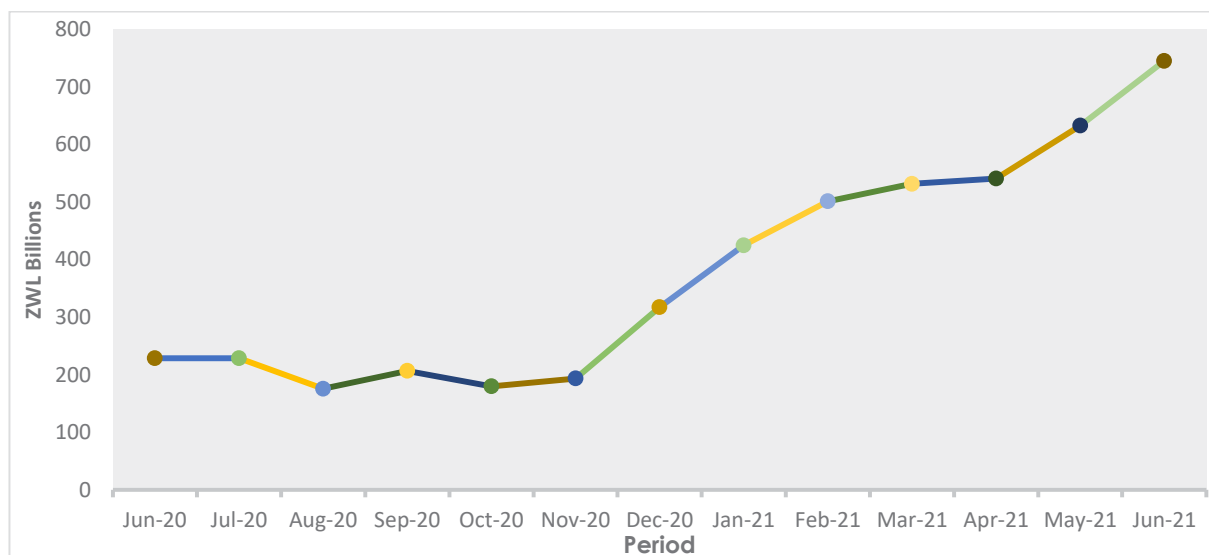
Figure 3: All Share and Top 10 Indices Performance



Source: Zimbabwe Stock Exchange

Market capitalization increased by 40.15% during the quarter under review. The increase in market capitalisation emanated from a rise in share prices. Figure 4 illustrates market capitalization developments for the period June 2020 to June 2021.

Figure 4: Daily Market Capitalisation in ZW\$ Billions



Source: Zimbabwe Stock Exchange

4 Victoria Falls Stock Exchange (VFEX) Performance Highlights

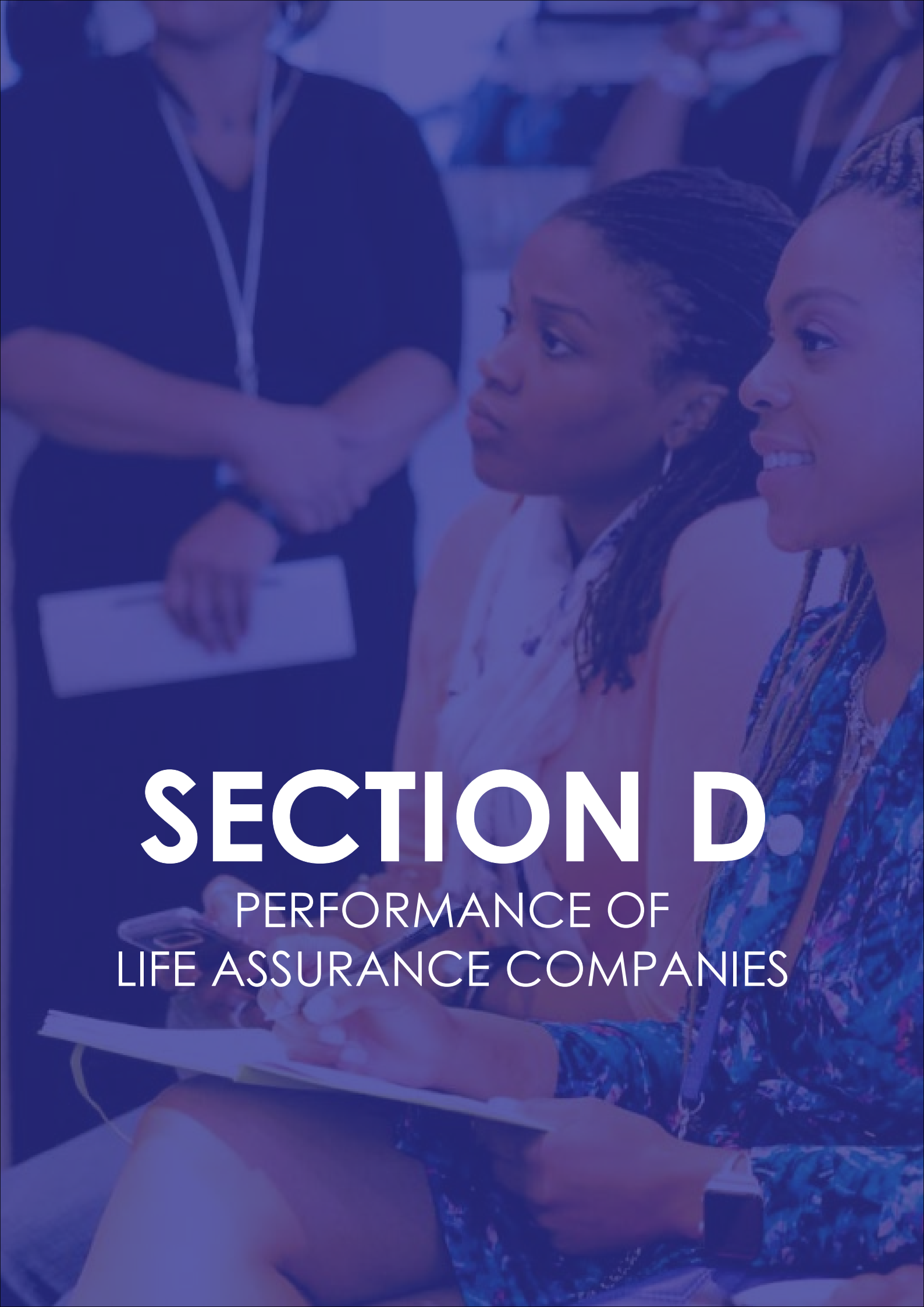
Seedco International was the only counter trading at the Victoria Falls Stock Exchange during the quarter under review. As at 30 June 2021, the counter registered US\$30,958.50 worth of trades, with a cumulative volume of trades of 119,982 shares. The total capitalisation stood at US\$ 61,047,642.10 and five trades were recorded during the quarter.

Money Market Developments

4.1 Savings Deposit Rates

Whilst the annual inflation rate declined to 106.64% at 30 June 2021, nominal interest rates were below 15%. Resultantly, real returns were negative during the entire quarter under review, albeit at lower levels when compared to the previous quarter. The average nominal savings deposit rates increased from 4.04% as at 1st of April 2021 to 4.24% as at 25 June 2021, with an end of quarter real return of -50%. The one-month nominal deposit rate increased from a maximum of 10.83% as at 1 April 2021 to 10.72 % as at 25 June 2021, translating to an end of quarter real return of -46%. The three-month nominal deposit rate decreased from a maximum of 11.80% as at 1st of April 2021 to 11.72% as at 25 June 2021, giving an end of quarter real return of -46%.



The background image shows a group of people, primarily women, at what appears to be a professional conference or meeting. They are dressed in business casual attire. One woman in the foreground is smiling and looking towards the right, while others in the background are looking in various directions. The entire image is covered with a semi-transparent blue filter. The text is overlaid on the lower half of the image.

SECTION D.

PERFORMANCE OF
LIFE ASSURANCE COMPANIES

Part A: Life Assurance Business

5 Industry Architecture

- 5.1 For the half-year ended 30 June 2021, the Life Assurance Sector had 12 direct life assurers, four (4) composite reinsurance companies and 1, 346 agents.
- 5.2 The number of registered agents for the Life Assurance sector decreased by 11 from 1, 357 reported as at 30 June 2020.
- 5.3 The decrease in the number of agents is mainly attributed to the withdrawal of licences and voluntary resignations to pursue other interests.
- 5.4 Table 4 below shows the number of agents for the life assurance sector reported as at 30 June 2021.

Table 4: Distribution of Agents across Life Assurers

Life Assurer	Corp. Agents: Fully Registered	Corp. Agents: Provisionally Licensed	Indi. Agents: Fully Registered	Indi. Agents: Provisionally Licensed	Totals
Evolution Life	0	0	0	0	0
Doves Life	0	0	192	0	192
CBZ Life	3	0	25	5	33
Old Mutual Life	13	0	160	0	173
Nhaka Life	1	0	7	9	17
Nyaradzo Life	9	0	309	1	319
ZB Life	0	0	91	40	131
Zimnat Life	0	0	205	20	225
Econet Life	0	0	0	0	0
Fidelity Life	0	0	36	0	36
First Mutual Life	0	0	132	88	220
Totals	26	0	1,157	163	1,346

6 Performance in terms of Gross Premium Written

- 6.1 For the half-year ended 30 June 2021, GPW by direct life assurers grew by 524% in nominal terms from ZW\$1.2 billion reported for the six months ended 30 June 2020 to ZW\$7.4 billion for the current reporting period.
- 6.2 The growth was mainly attributed to an increase in premiums as life assurers aligned premiums and benefits to the macroeconomic environment.
- 6.3 Based on inflation-adjusted figures, GPW grew favourably by 202.27% as compared to 106.6% year-on-year inflation.
- 6.4 Notwithstanding the favourable performance by the sector, the Commission continues to encourage players to be highly innovative in aligning product specifications to policyholder expectations in terms of value preservation and relevance, more so, in light of the obtaining volatile macroeconomic environment.

- 6.5 Sector players are also encouraged to leverage modern information and communication (ICT) and develop distribution channels that enable them to reach the marginalised sectors of the society.

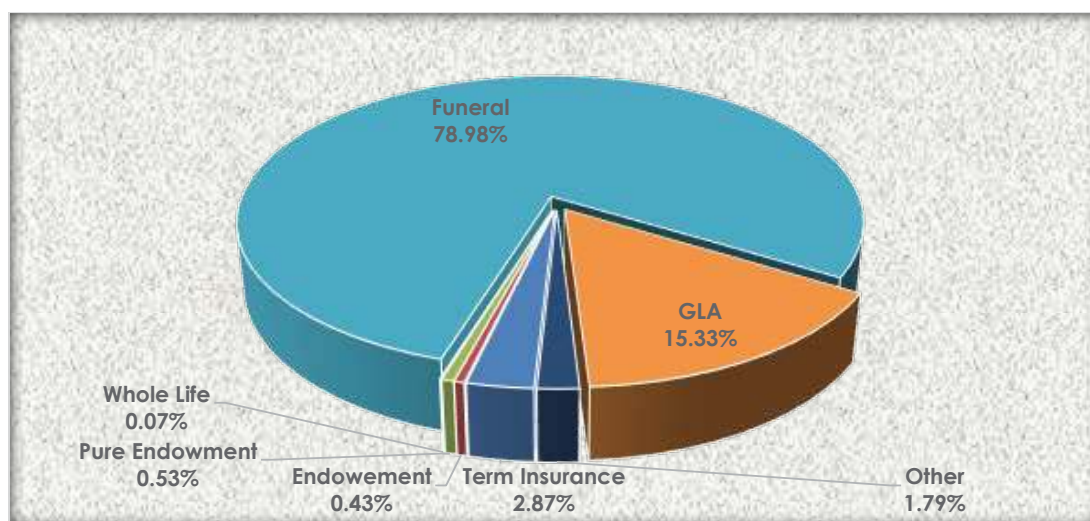
Main Source of GPW

- 6.6 For the half-year ended 30 June 2021, the life assurance sector's GPW was skewed towards recurring business, which accounted for 97% of total business written, while new business accounted for the remaining 3%.
- 6.7 New business remains low, pointing to the need for confidence restoration in the life assurance sector to encourage the uptake of life assurance policies.
- 6.8 To this end, the Commission encourages players to revamp their product specifications and business models in line with the demand for insurance products.

Breakdown by product

- 6.9 In terms of business composition by product line, 78.98% of the total Gross Premium Written was generated from funeral assurance business, followed by Group Life Assurance business (GLA) with 15.33%.
- 6.10 The two products continue to be the major sources of business for life assurance companies, eclipsing most of the traditional life assurance products, like endowment and whole life assurance policies.
- 6.11 This also reflects the low appetite for traditional life assurance products.
- 6.12 Although the macroeconomic environment has showed signs of improvement, the business operating environment still faces challenges. It is in this regard that players in the life assurance sector are urged to develop products that are relevant to the needs of the consumers for them to remain relevant.
- 6.13 This calls for dedicated efforts by sector players to embrace research and development and come up with relevant products and new delivery channels for the sector.
- 6.14 Figure 5 below shows the distribution of GPW by product.

Figure 5: Distribution of GPW by product



7 Not taken up (NTU) policies

7.1 For the six months ended 30 June 2021, the life assurance sector reported a total of 179 995 not taken up (NTU) policies with a total nominal gross premium of ZW\$22.01 million (See Table 5 below).

7.2 Not taken up policies are partly because of mis-selling and inability of new clients to commit paying premiums to their new policies because of Covid-19 induced decline in consumers' disposable incomes.

7.3 However, players are encouraged to maintain well-trained front office staff and intermediaries to avoid mis-selling, which may also be a cause of not taken up (NTU) policies.

Table 5: Not taken up policies

Life Assurer	Total sum # Of Policies	Total sum Gross Premium
Evolution Insurance Company	-	-
Doves Life Assurance Company Pvt Ltd	-	-
CBZ Life	2057	2 599 265
Nyaradzo Life Assurance Company	-	-
Zimnat Life Assurance Company	4 273	7 159 414
Old Mutual Life Assurance Company	519	65 626 735
Nhaka Life Assurance (Private) Limited	-	-
ZB Life Assurance	952	169 866
Econet Life Pvt Ltd	172 100	36 571 250
Fidelity Life Assurance	71	179 958
First Mutual Life Assurance Company	23	22 561
Totals	179 995	112 329 050

***Heritage Life failed to submit its Q2 returns.

8 Lapsable and lapsed policies

- 8.1 For the half-year ended 30 June 2021, the life assurance sector had a total of 2.1 million lapsable policies, out of which 209, 038 policies lapsed, translating into a lapse ratio of 10.07%.
- 8.2 The lapse ratio of 10.10% compares unfavourably to the lapse ratio of 3.80% recorded for the comparative period ending 30 June 2020.
- 8.3 The high lapse ratio of 10.07% may be attributed to a general decline in the consumers' disposable incomes because of Covid-19 induced restrictions.
- 8.4 The Commission urges the sector players to treat all lapses in accordance with the law in terms of grace periods and notices that should be sent to policyholders.

Table 6: Lapse Ratios

Company Name	Number of Lapsable Policies at the Beginning of the Quarter	Lapsed Policies (Individual Life)	Lapsed Policies (EB /Corporates)	Lapsed Policies (Others)	Lapse Ratio
Evolution	-	-	-	-	0%
Old Mutual	82 352	2 223	-	-	3%
First Mutual	173 325	7 287	11 755	-	10.99%
Zimnat	74 141	4 952	-	-	6.68%
Nyaradzo	561 849	57 389	3 207	-	10.79%
Fidelity	135	151	-	-	111.85%
CBZ	54 465	3 085	-	-	5.66%
Econet	1 100 899	118 486	-	-	10.76%
ZB	15 197	204	-	-	1.34%
Nhaka	12 688	294	5	-	2.36%
Heritage	-	-	-	-	-
Doves	-	-	-	-	0%
Totals	2 075 051	194 071	14 967	-	10.07%

***Heritage Life failed to submit Q2 returns.

9 Capitalisation

- 9.1 As at 30 June 2021, all the eleven (11) direct life assurance companies who submitted their returns reported capital positions that were compliant with the prescribed minimum capital requirement of ZW\$75 million.
- 9.2 The Commission continues to implore all sector players to continuously carry out capital adequacy self-assessments in line with the provisions of Statutory Instrument 95 of 2017.
- 9.3 Table 7 below shows the trend in capitalisation for the life assurance sector.

Table 7: Trends in the Capital Positions

Life Assurer	Q2-2020 (ZW\$000)	Q2-2021 (ZW\$000)
Evolution	40 379	341 882
Doves	198 179	1 329 146
CBZ	330 697	433 428
Old Mutual	5 638 827	17 581 591
Nhaka	39 769	97 502
Nyaradzo	695 981	3 178 311
ZB	599 591	1 563 981
Zimnat	123 051	514 834
Econet	337 875	942 499
Fidelity	796 251	283 262
First Mutual	324 784	1 943 941
Heritage Life	744	-

***Heritage Life failed to submit its Q2 returns.

9.4 The Commission launched the Zimbabwe Integrated Capital and Risk Programme (ZICARP) on 22 July 2021, which represents a major milestone in the transition to risk-based supervision.

9.5 To improve the quality of capital and align it to the risk that players carry, life assurers were required to comply with the requirements of the Zimbabwe Integrated Capital and Risk Programme (ZICARP), starting with participation in the dry runs for the half-year ended 30 June 2021.

10 Asset quality

10.1 The total asset base for the life assurance sector grew by 14% from ZW\$48.2 billion reported as at 31 March 2021 to ZW\$55.1 billion reported as at 30 June 2021.

10.2 Growth in the asset base was driven by an increase in the value of equities and revaluation of properties in response to inflation.

10.3 In terms of the composition of the asset base for life assurers, 92.21% was in property & equipment, investment property and equities. These asset classes have continued to insulate policyholder funds from the ravaging effects of inflation.

10.4 However, the Commission continues to encourage players to upscale their asset-liability management and ensure that asset and liability maturity profiles are in sync to minimise liquidity risk.

Prescribed Assets

- 10.5 For the six months to 30 June 2021, the total investments in prescribed assets by the life assurance sector amounted to ZW\$162.4 million translating to an average prescribed asset ratio of 0.326%, which is far below the minimum required threshold of 15%.
- 10.6 The low level of compliance is of great concern to the Commission and sector players are encouraged to make efforts to improve compliance with this statutory requirement. Players are reminded that the Commission is set to enforce the statutory provisions to enforce compliance. The Commission has set up a working committee that has been tasked with coming up with recommendations on value adding prescribed asset instruments.
- 10.7 Investments in prescribed assets are important in the mobilisation of funds for projects of national importance.
- 10.8 Table 8 below shows the level of investments by the life assurance sector in prescribed assets.

Table 8: Prescribed Asset investments

Life Assurer	Prescribed Asset Invest	Total Assets	Prescribed Asset Ratio (%)	Amt Required to be Compliant	Variance in Compliance
Evolution Life	5,000	344 322 590	0.001%	51 648 389	-14.999%
Doves Life	-	1 485 118 160	0.000%	222 767 724	-15.000%
CBZ Life	22 518 446	681 921 296	3.302%	102 288 194	-11.698%
Nyaradzo Life	-	8 611 936 642	0.000%	1 291 790 496	-15.000%
Zimnat Life	139 685 144	3 699 918 477	3.775%	554 987 772	-11.225%
Old Mutual Life	37 173	22 217 502 684	0.000%	3,332 625 403	-15.000%
Nhaka Life	147 450	112 113 245	0.132%	16 816 987	-14.868%
ZB Life	15 957	4 026 000 657	0.000%	603 900 098	-15.000%
Econet Life	-	1 414 004 098	0.000%	212 100 615	-15.000%
Fidelity Life	-	185 155	0.000%	27 773	-15.000%
Heritage Life	-	-	0.000%	-	-15.000%
First Mutual Life	-	7 193 924 561	0.000%	1 079 088 684	-15.000%
Totals	162,409,172	49 786 947 565	0.326%	7 468 042 135	-14.674%

*****Heritage Life failed to submit its returns.**

11 Reassurance

- 11.1 The life assurance sector ceded premiums amounting to ZW\$190.5 million out of the ZW\$7.4 billion GPW during the half-year ended 30 June 2021, translating into a reinsurance ratio of 2.58%. The low reinsurance ratio is a cause for concern given the exposure during periods of high claims experience. The Commission continues to urge players to improve their reinsurance ratios to cushion their balance sheets.
- 11.2 Reassurance is an important risk management tool and is also recognised in capital calculation under the ZICARP framework, thus life assurance players should utilise this important tool as the industry transition to a risk- based supervisory regime.

12 Earnings

- 12.1 In nominal terms, total profit after tax for life assurers decreased from ZW\$34.12 billion for the six months ended 30 June 2020 to ZW\$12.32 billion for the six months ended 30 June 2021. This translates to a decrease of 64%.
- 12.2 The combined ratio for the life assurance sector decreased from 95.59% for the six months ended 30 June 2020 to 70% for the comparable period in 2021, indicating an increase in underwriting profits.
- 12.3 However, the increase in underwriting profits and the decrease in the combined ratio was outweighed by significant transfers to technical reserves, amounting to ZW\$3.71 billion, resulting in an underwriting loss of ZW\$94 million.

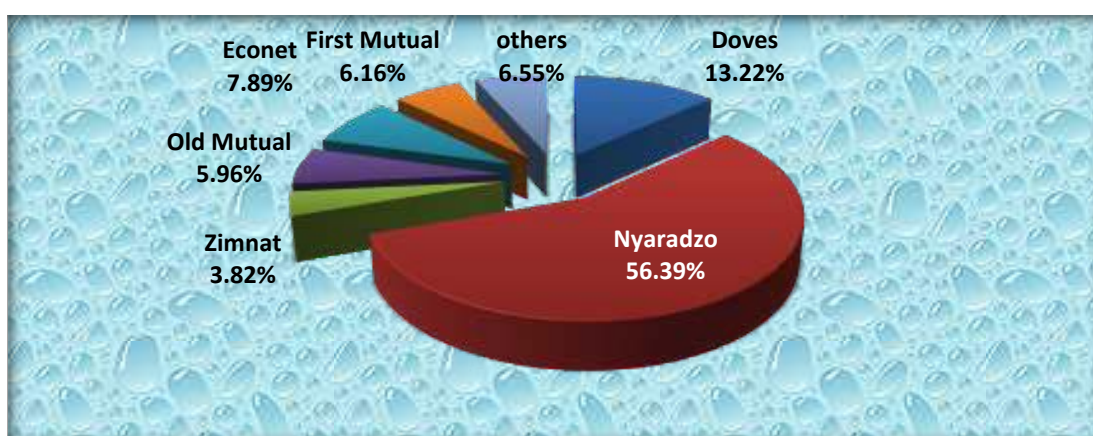
13 Liquidity

- 13.1 For the half -year ended 30 June 2021, the life assurance sector reported total current assets amounting to ZW\$3.9 billion compared to ZW\$3.3 billion reported as at 31 March 2021.
- 13.2 Current liabilities amounted to ZW\$3.4 billion against total current assets of ZW\$3.9 billion, translating to working capital of ZW\$538 million.
- 13.3 The life assurance sector's current ratio was 1.16 as at 30 June 2021, reflecting adequate liquidity to cover short-term contractual and other obligations.

14 Market Share

- 14.1 For the half-year ended 30 June 2021, one player continued to dominate the life assurance sector in terms of GPW with a total market share of 56.39% while the remaining players shared the remaining 43.61%.
- 14.2 Figure 6 below shows the market share distribution for the life assurance sector in terms of GPW.

Figure6: Market Share in terms of GPW



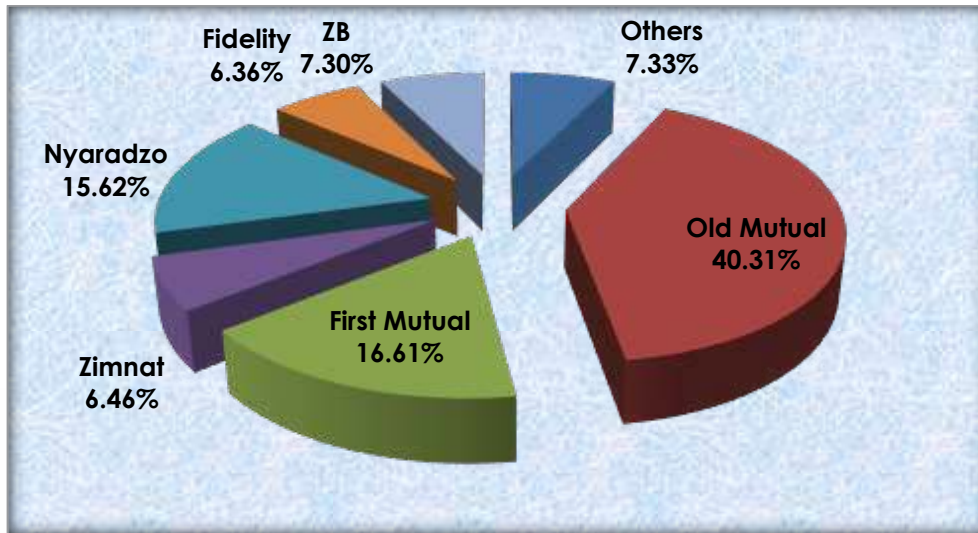
**Others comprise Evolution Life, Fidelity Life, CBZ Life, ZB Life and Nhaka Life*

**Heritage failed to submit Q2 returns*

14.3 In terms of total assets, one player dominated the sector with a share of 40.31% of total assets while the remaining 10 players accounted for the remaining 59.69%.

14.4 Old Mutual Life continue to dominate the sector, with a combined market share of 40.31% of total assets. Figure 7 shows the distribution of assets by player.

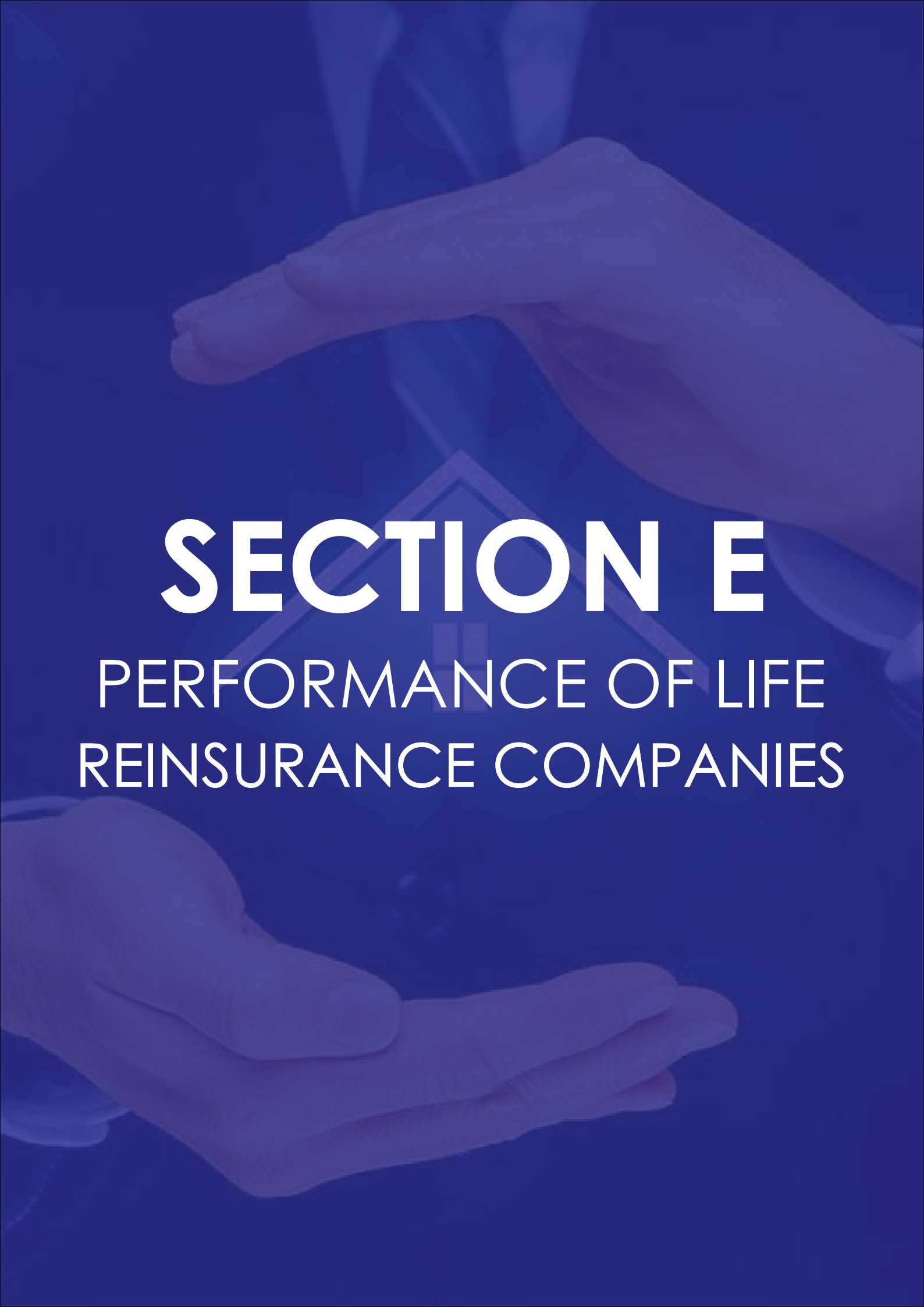
Figure 7: Distribution of assets by player.



****Others Comprises Evolution, CBZ, Econet, Nhaka, and Doves****

Heritage Life failed to submit Q2 returns



The background of the slide features a blue-tinted image of two hands, one above the other, cupping a white icon of a house. The hands appear to be belonging to a person in a professional setting, possibly a business suit. The overall tone is professional and protective.

SECTION E

PERFORMANCE OF LIFE REINSURANCE COMPANIES

Part B: Life Reassurance Business

15 Nature of the reinsurance business

- 15.1 Statistics presented in this section only pertain to the composite reinsurers' life assurance business.
- 15.2 The figures for Zep-Re only relate to the company's Zimbabwe Regional Hub Office.
- 15.3 The Regional Hub Office writes business in Zimbabwe, Swaziland, Botswana, Namibia, and South Africa, among others. ZEP Reinsurance Company was formed under the auspices of COMESA and writes business in all COMESA member States. The Regional Hub Office is supported by the balance sheet of Zep-Re as a whole.

16 Performance in terms of Business Written

- 16.1 The volume of life reinsurance business written, in terms of GPW, increased by 468% from ZW\$41.81 million reported in the six months ended 30 June 2020 to ZW\$237.5 million for the six months ended 30 June 2021 (See table below).
- 16.2 Growth in GPW was attributable to an increase in premiums from the group life assurance business.
- 16.3 In real terms, the sector experienced a growth of 175.03% from ZW\$41.81 million to ZW\$115 million.

Table 9: Breakdown of GPW for Reassurers

Company Name	GPW 2020 Q2 (ZW\$ 000)	GPW 2021 Q2 (ZW\$ 000)	2021 Q2 (Inflation adjusted ZWL\$000)	Real Growth after inflation adjustment	Nominal Growth (%)
Emeritus Re	25 827	149 090	72 164	179%	477%
FBC Re	7 751	38 129	18 455	138%	392%
FM Re	3 653	16 308	7 894	116%	346%
Zep Re	4 537	34 059	16 485	263%	651%
Total	41 813	237 586	114 998	175%	468%

17 Capitalisation

- 17.1 As at 30 June 2021, all four (4) life reassurers reported capital positions that were compliant with the minimum capital requirement of ZW\$112.5 million.
- 17.2 The Commission encourages players to continuously carry out capital adequacy self-assessments in line with the provisions of Statutory Instrument 95 of 2017.
- 17.3 Compliance with minimum capital requirements is a statutory requirement and players are required to be compliant at all times.
- 17.4 Table 10 below shows the trends in capital positions for reassurers.

Table 10: Trend in the Capital Position for Composite Reassurers

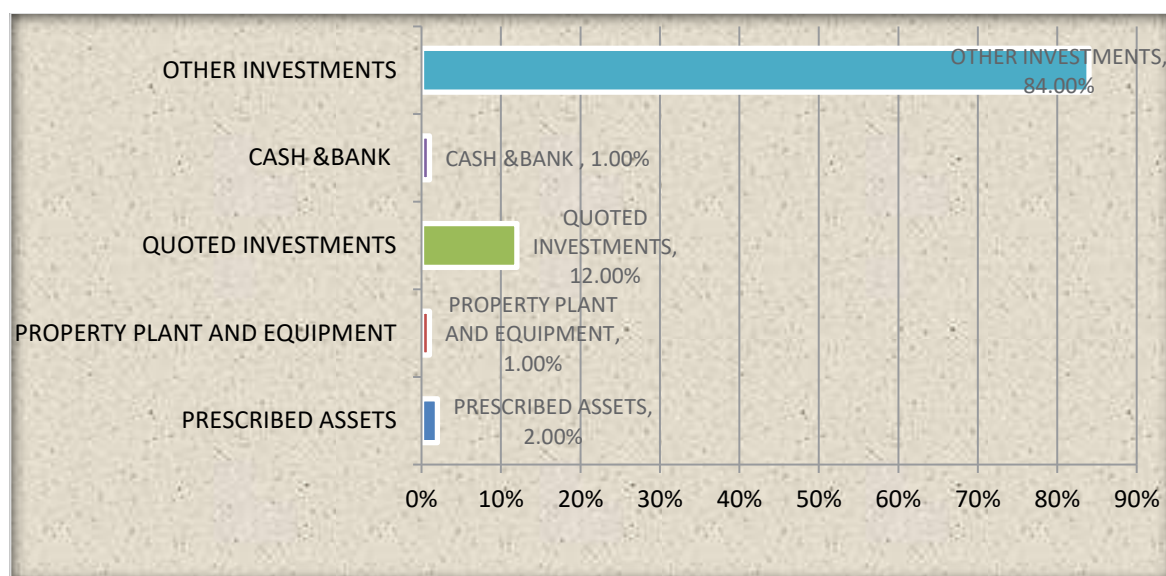
Company Name	Capital (Net Assets) – Mar 21 (ZW\$ 000)	Capital (Net Assets) – Jun 21 (ZW\$ 000)
First Mutual Reinsurance	354,136	748,680
Emeritus Reinsurance	178,165	311,480
FBC Reinsurance	109,937	293,579
ZEP RE-Insurance	718,030	741,310
	1,357, 268	2,095,049

**Please note, the capital positions above comprises of both life and non-life reinsurance business (Composite Reassurance Business).*

18 Asset Quality

- 18.1 Total assets for life reassurers amounted to ZW\$2.55 billion for the six months ended 30 June 2021, reflecting a nominal increase of 34% from ZW\$1.89 billion reported as at 31 March 2021.
- 18.2 The growth in total assets was mainly due to an increase in other investment values on account of significant fair value adjustments on the Zimbabwe Stock Exchange and property revaluations.
- 18.3 Other investments constituted the bulk of total assets with a proportion of 84% of the total assets.

Figure 8: Life Reassurers Total Assets



***Other investments below include, deferred tax assets, deferred acquisition costs, technical assets and unquoted shares.**

18.4

18.5 Based on the above, players are urged to strike a balance between investing in value preserving assets and liquidity for the settlement of obligations.

Prescribed Assets

18.6 As at 30 June 2021 all composite reinsurance players reported prescribed asset ratios below the minimum required threshold of 15%.

18.7 Total investments in prescribed assets by the life reinsurance sector amounted to ZW\$44.8 million translating to a sector average prescribed asset ratio of 1.75%.

18.8 Investment in prescribed assets is a statutory requirement, hence players should take steps to comply with the requirement.

18.9 Prescribed assets investments are an important resource mobilisation tool for funding projects of national importance.

18.10 Table 11 below shows prescribed asset ratios for composite reinsurance players.

Table 11: Prescribed assets ratios for sector players.

Reinsurer	Prescribed asset	Total assets	Prescribed	Amount required	Variance in
Emeritus Re	0.00	301 334 366	0.00%	46 847 818	-0.15
First Mutual Re	13 445 177	312 318 786	4.30%	31 754 977	-0.11
ZEP RE-	30 289 640	1 892 939 041	1.60%	253 651 216	-13.4
FBC Re	1 071 076	47 894 843	2.24%	2 368 855	-0.10
Total	44 805 894	2 554 487 036	1.75%	338 367 161	-0.08

19 Earnings

- 19.1 For the six months ended 30 June 2021, profit after tax for the composite reinsurance sector increased by 3, 971% from ZW\$10.77 million reported for the half-year ended 30 June 2020 to ZW\$438.46 million.
- 19.2 The increase in profit after tax is mainly attributable to significant increases in investments income.
- 19.3 For the half-year ended 30 June 2021, composite reinsurers reported an inflation-adjusted profit of ZW\$89.48 million.
- 19.4 The life reinsurance sector had a combined ratio of 78.30% for the half- year ended 30 June 2021.
- 19.5 However, the overall underwriting profitability was negative due to transfers to technical reserves.

20 Liquidity

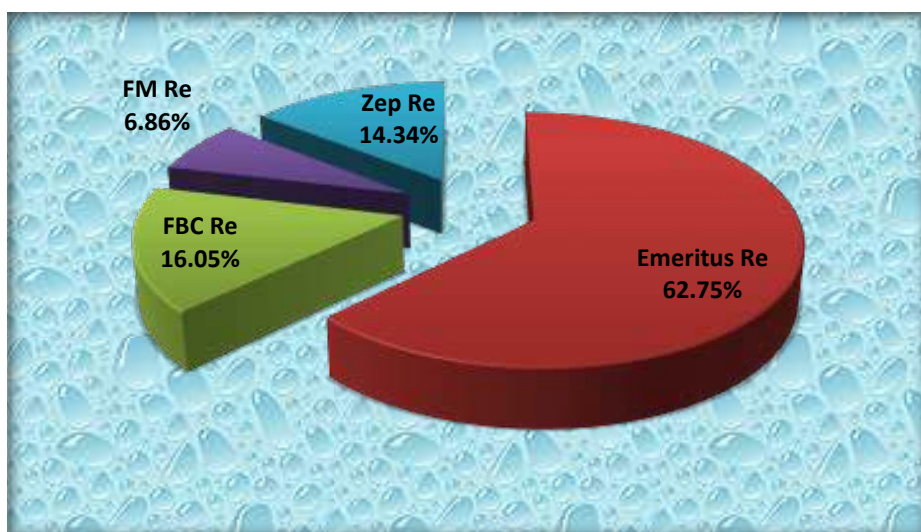
- 20.1 For the half-year ended 30 June 2021, the composite reinsurance sector's nominal liquid assets amounted to ZW\$251 million, constituting 9.8% of total assets.
- 20.2 The average current ratio was 104% as at 30 June 2021, showing adequate liquidity to cover short-term contractual obligations as they fall due.

21 Market Share

Market Share in terms of GPW

- 21.1 The GPW for the life reinsurance sector remains concentrated in one (1) players, controlling a combined market share of 62.75% while the remaining three (3) players controlled the remaining 37.25%
- 21.2 The breakdown of the sector's GPW among players is as shown in the figure below.

Figure 9: Market Share by Gross Premium Written

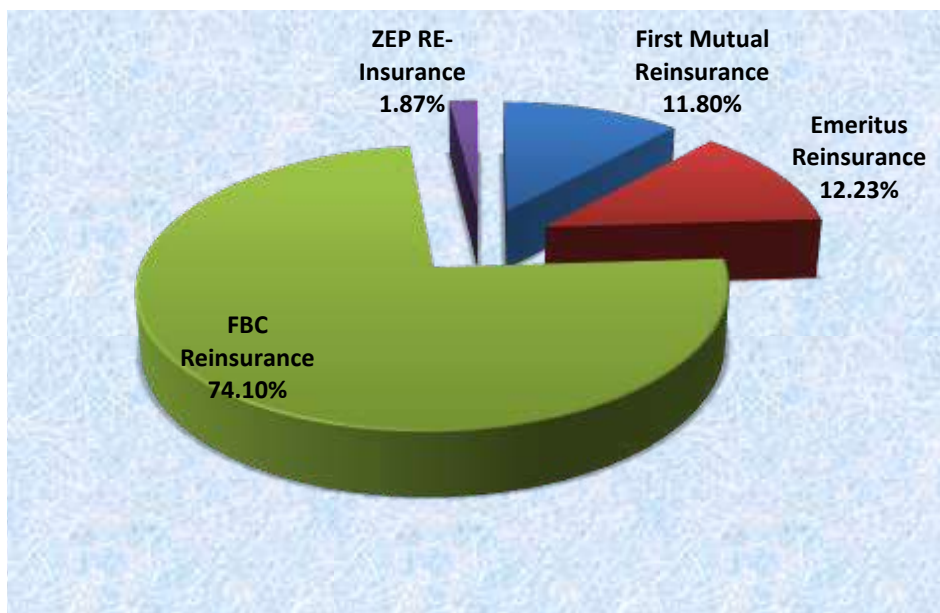


Market Share in terms of total assets

21.3 In terms of total assets, one player controlled 74.1% of the market share, while the remaining three (3) players accounted for 25.9% of the market share.

21.4 The breakdown of sector assets by players is as shown in figure 10 below.

Figure 10: Market Share distribution in terms of total assets



SECTION F: REGULATORY DEVELOPMENTS

22 Regulatory Developments for the Period Ending 30 June 2021

22.1 Circulars and Statutory Instruments

The Commission issued the following Statutory Instruments and Circulars to the insurance sector as shown in Table 12 below.

Table 12: Statutory Instruments and Circulars issued

Circular/Statutory Instrument (SI)	Date Issued/ Gazetted	Purpose
S.I. 85 of 2021	26 March 2021	Revision of fees payable to the Commission
S.I. 86 of 2021	26 March 2021	Revision of levies payable to the Commission
Circular 23 of 2021	30 June 2021	ZICARP Framework.
Circular 21 of 2021	11 June 2021	Launch of ZICARP framework.
Circular 18 of 2021	31 May 2021	Issuance of the revised guideline on adjusting insurance and pensions values in response to the 2019 currency reforms.
Circular 17 of 2021	07 May 2021	Requests for inputs into the 2021 mid-term budget and economic review and the 2022 budget strategy paper.
Circular 15 of 2021	27 April 2021	Postponement of the launch of ZICARP.
Circular 14 of 2021	16 April 2021	Request for information on externalised risks.
Circular 13 of 2021	09 April 2021	Sector feedback session on the implementation of the Guidance Paper.
Circular 12 of 2021	29 March 2021	Notification of publication of IPEC Levy regulations.
Circular 11 of 2021	09 March 2021	ZICARP Programme – Own Risk and Solvency Assessment (ORSA).
Circular 10 of 2021	05 March 2021	Deadline extension for the submission of 2020 Audited Financial Statements and Actuarial Valuation Reports.
Circular 9 of 2021	04 March 2021	Submission of monthly management accounts by funeral assurers to the Commission
Circular 8 of 2021	24 February 2021	Issuance of the Treating Customers Fairly Framework
Circular 5 of 2021	17 February 2021	2021 Global Money Week Commemorations
Circular 4 of 2021	28 January 2021	Request for currency reforms compensation framework proposals
Circular 3 of 2021	19 January 2021	Request of information on foreign currency denominated business
Circular 2 of 2021	12 January 2021	Delivery of electronic mail to IPEC
Circular 1 of 2021	04 January 2021	Provision of necessary services during lockdown.

22.2 **Capacitation of the Sector**

In line with the Commission's mandate of capacitating the sector, technical assistance was offered to individual entities that requested for assistance on the e-filing of returns. Workshops were also held with the sector to launch and unpack the Zimbabwe Integrated Capital and Risk Programme (ZICARP).

22.3 **International Engagements**

The Commission actively participated in regional and international activities under the auspices of the International Association of Insurance Supervisors (IAIS), African Insurance Organisation (AIO), Organisation of Eastern and Southern Africa Insurers (OESAI) and the Committee of Insurance, Securities and Non-banking Financial Authorities (CISNA). These include participation in surveys, meetings, workshops and training.



SECTION G

COMPLAINTS HANDLING AND CONCLUSION



23 Complaints

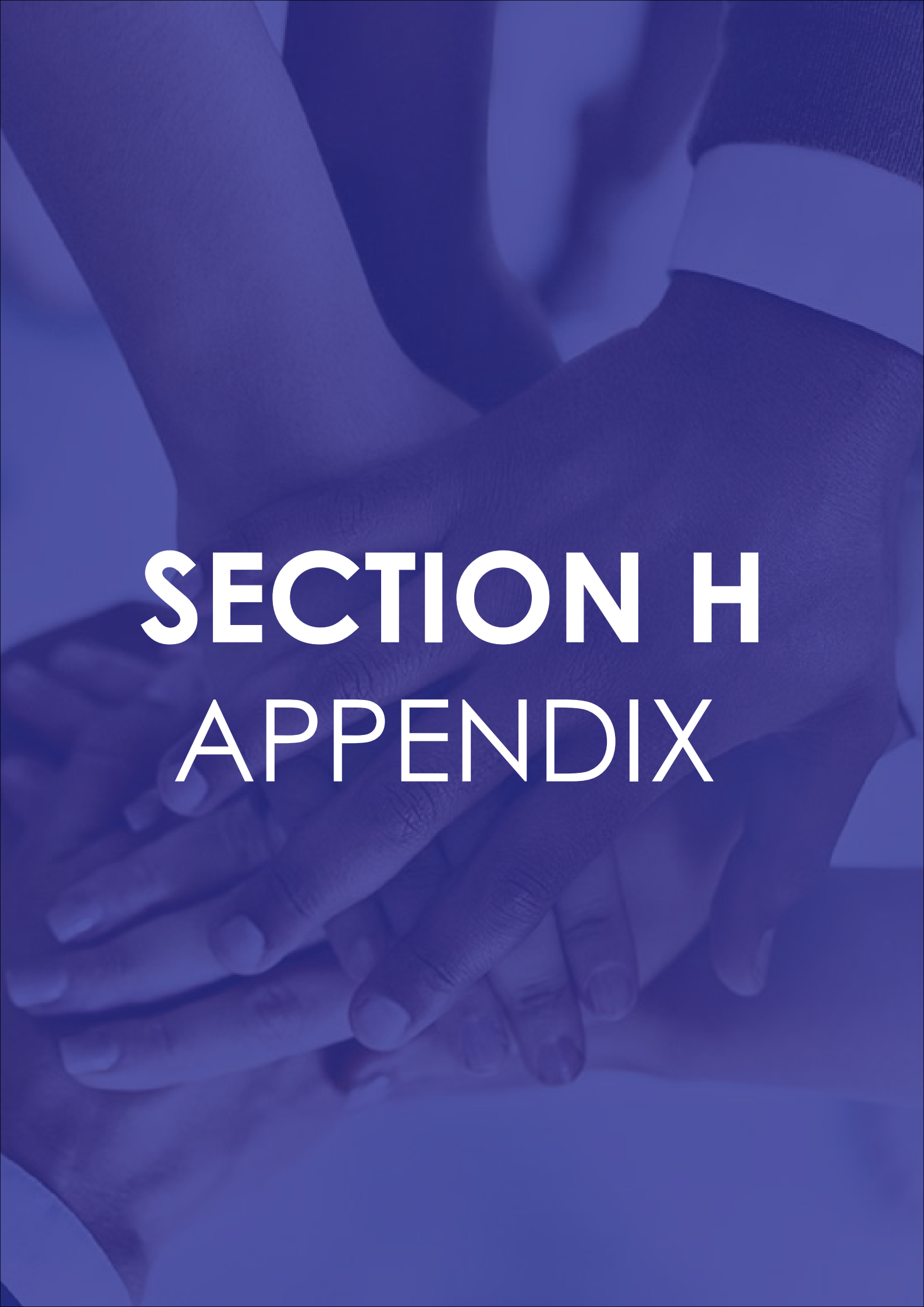
- 23.1 During the quarter under review, the Commission received 30 complaints, 11 of which were resolved whilst 19 were still outstanding
- 23.2 Most of the unresolved complaints related to the loss of values of policies following the 2009 currency conversion from Zimbabwe dollar to the United States dollar.
- 23.3 The table below indicates the nature and number of complaints handled during the reporting period.

Nature of complaints	Number of complaints
Low value pay-outs	22
Non-payment of benefits	5
Late payment of benefits	3
Total	30

- 23.4 Most of the complaints under non-payment of benefits related to repudiation of funeral claims after the policies lapsed. However, following the Commission's engagement with the entity in question, the life assurer made a business decision to make ex-gratia payments on humanitarian basis.
- 23.5 Complaints relating to late payment of benefits were as a result of assurers requiring further documentation to settle the claims.

24 Conclusion

- 24.1 While the Commission is cognisant of the prevailing economic challenges in the country, sector players are urged to be innovative in their product offerings to remain relevant.
- 24.2 In addition, all players are also encouraged to re-engineer their business models by leveraging modern technology to improve their revenue streams and visibility in the marketplace. This will enable players to be competitive in a marketplace that is becoming more global in nature.
- 24.3 Players are reminded that compliance with all regulations is a requirement, and not an option.
- 24.4 The Commission also applauds the life assurance industry for ensuring business continuity in the wake of continued Covid-19 induced lockdown.



SECTION H

APPENDIX

Annexure 1: Statement of Comprehensive Income for for Life Assurers for the Half year ended 30 June 2021

	Evolution	Doves	CBZ Life	Nyaradzo	Zimnat Life	Old Mutual Life	Nhaka	ZB Life	Econet Life	Fidelity	First Mutual Life	TOTALS
Gross Premium Written	13,785,127.00	974,144,502.00	115,770,582.96	4,155,610,574.76	281,444,974.18	439,413,298.24	13,653,489.00	184,300,566.57	581,626,600.76	155,060,541.89	454,117,897.82	7,368,928,155.18
Outward Reassurance Premium	1,962.00	0.00	2,549,536.59	0.00	39,584,020.99	49,822,475.37	273,519.00	21,966,115.49	45,702,207.06	30,568,175.62	0.00	190,468,012.12
Net Premium Written	13,783,165.00	974,144,502.00	113,221,046.37	4,155,610,574.76	241,860,953.19	389,590,822.87	13,379,970.00	162,334,451.08	535,924,393.70	124,492,366.27	454,117,897.82	7,178,460,143.06
Unearned Premiums	0.00	0.00	790,021.61	0.00	23,611,415.89	17,920,774.47	367,319.00	0.00	22,732,674.77	0.00	0.00	65,422,205.74
Net Earned Premium	13,783,165.00	974,144,502.00	112,431,024.76	4,155,610,574.76	218,249,537.30	371,670,048.40	13,012,651.00	162,334,451.08	513,191,718.93	124,492,366.27	454,117,897.82	7,113,037,937.32
Claims Paid	2,128,642.00	209,610,127.00	14,320,273.52	1,412,797,639.58	122,372,214.48	181,542,842.58	1,671,224.00	50,006,811.69	303,420,456.65	86,224,250.00	163,450,628.40	2,547,545,109.90
Claims Outstanding	38,950.00	0.00	248,426.96	0.00	0.00	0.00	0.00	-4,877,610.17	6,645,112.80	0.00	0.00	2,054,879.59
Claims Incurred But Not Reported	964,821.55	0.00	0.00	0.00	0.00	78,943,063.61	1,364,657.00	0.00	40,035,369.11	0.00	0.00	121,307,911.27
Change in provision for investment	0.00	97,414,450.00	0.00	0.00	633,414,663.76	839,670,485.35	0.00	0.00	0.00	0.00	0.00	1,570,499,599.11
Change in provision for insurance	0.00	0.00	0.00	0.00	0.00	469,645,713.47	0.00	0.00	0.00	0.00	-182,754,105.45	286,891,608.02
Transfer to Policyholder Funds	0.00	0.00	0.00	1,214,844,314.90	0.00	0.00	0.00	515,344,252.38	0.00	0.00	0.00	1,730,188,567.28
Net Claims	3,132,413.55	307,024,577.00	14,568,700.48	2,627,641,954.48	755,786,878.24	1,569,802,105.01	3,035,881.00	560,473,453.90	350,100,938.56	86,224,250.00	163,450,628.40	6,441,241,780.62
Management Expenses	0.00	261,331,622.00	0.00	1,105,299,702.62	135,758,382.37	0.00	5,155,605.00	51,852,682.79	0.00	0.00	0.00	1,559,397,994.78
Net Fees and Commission Paid	2,900,074.00	70,850,393.00	11,086,487.41	239,547,296.99	29,749,642.11	0.00	884,016.00	37,838,709.40	102,500.00	0.00	11,567,841.15	404,526,960.06
Underwriting Profit/(Loss)	7,750,677.45	334,937,910.00	86,775,836.87	183,121,620.67	-703,045,365.42	(1,198,132,056.61)	3,937,149.00	-487,830,395.01	162,988,280.37	38,268,116.27	279,099,428.27	-93,996,741.53
Fair value adjustments (positive)	0.00	0.00	69,212,992.78	0.00	467,584,229.06	9,218,098,413.04	16,667,386.00	202,773,262.01	351,134,505.81	122,508,623.77	1,288,832,562.32	11,736,811,974.79
Dividend income	0.00	0.00	1,036,908.37	1,062,784.29	0.00	132,640,250.55	0.00	8,288,857.73	6,775,045.78	1,243,732.91	29,067,879.51	180,115,459.14
Rental income	0.00	5,815,789.00	2,581,840.47	2,818,941.64	33,659,903.37	12,313,292.15	474,384.00	5,629,631.89	2,010,700.41	4,674,753.20	0.00	69,979,236.13
Other Income	0.00	3,568,606.00	29,573,876.25	14,876,794.79	241,210,412.61	768,331.48	6,621,060.00	10,721,261.97	94,495,099.34	28,749,129.77	0.00	430,584,572.21
Other Income2	0.00	31,811.00	-768,815.44	290,732,113.85	1,022,840.24	0.00	-6,772,450.00	612,207,290.00	2,012,416.00	8,057,096.67	0.00	906,522,302.32
Other Income3	0.00	0.00	8,740,596.47	0.00	36,141,944.87	0.00	2,293,287.00	5,144,747.78	0.00	13,888,473.00	0.00	66,209,049.12
Other Income4	0.00	0.00	0.00	0.00	0.00	0.00	7,307.00	0.00	0.00	13,065,592.05	0.00	13,072,899.05
Administrative Expenses	3,009,736.00	0.00	105,272,147.16	160,211,230.13	54,145,251.15	127,849,382.05	4,213,143.00	50,111,315.26	302,819,942.28	28,926,538.27	277,589,538.76	1,114,148,224.06
Other Expenses1	2,778,108.00	0.00	6,904,929.36	0.00	0.00	57,197,826.54	2,125,000.00	0.00	6,176,884.71	8,057,096.67	0.00	83,239,845.28
Other Expenses2	2,778,108.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	2,001,990.43	13,888,473.00	0.00	18,668,571.43
Earnings Before Interest and Taxation	1,962,833.45	344,354,116.00	84,976,159.25	332,401,025.11	22,428,713.58	7,980,641,022.02	16,889,980.00	306,823,341.11	308,417,230.29	237,436,486.24	1,874,589,408.86	11,510,920,315.91
Interest	0.00	18,039.00	-634,483.08	25,900,243.13	0.00	0.00	0.00	2,342,000.59	1,374,830.09	7,851,835.07	6,355,518.87	43,207,983.67
Interest expense	0.00	2,665,607.00	12,802.73	0.00	25,445.35	0.00	0.00	0.00	10,926,897.62	-55,628.75	(1,086,856,500.02)	13,575,123.95
Earnings Before Tax	1,962,833.45	341,706,548.00	84,328,873.44	358,301,268.24	22,403,268.23	7,980,641,022.02	16,889,980.00	309,165,341.70	298,865,162.76	245,343,950.06	2,967,801,427.75	12,627,409,675.65
Taxation	0.00	0.00	99,409.12	79,023,956.29	13,366,012.48	0.00	0.00	15,879,811.00	-43,763.64	0.00	197,114,372.90	305,439,798.15
Earnings After Tax	1,962,833.45	341,706,548.00	84,229,464.32	279,277,311.95	9,037,255.75	7,980,641,022.02	16,889,980.00	293,285,530.70	298,908,926.40	245,343,950.06	2,770,687,054.85	12,321,969,877.50
Total Comprehensive Profit/(Loss) Attributable to Shareholders	1,962,833.45	341,706,548.00	84,229,464.32	279,277,311.95	9,037,255.75	7,980,641,022.02	16,889,980.00	293,285,530.70	298,908,926.40	245,343,950.06	2,770,687,054.85	12,321,969,877.50

Annexure 2: Statement of Financial Position for Life Assurers as at 30 June 2021

	Evolution	Daves	CBZ Life	Nvaradzo	Zimnat	Old Mutual Life	Nhaka	78 Life	Econet Life	Fidelity	First Mutual Life	Totals
Non-Current Assets												
Intangible Assets	0.00	0.00	0.00	0.00	81,510.22	0.00	0.00	865,137.84	0.00	18,403,533.57	0.00	19,350,181.63
Property and Equipment	10,935,332.00	161,416,314.00	101,337,107.19	5,887,462,862.94	6,208,704.89	76,913,502.21	1,464,842.00	31,042,797.33	125,159,263.68	278,459,807.10	0.00	6,680,400,533.34
Investment Property	125,104,054.82	884,931,000.00	315,750,000.00	205,338,410.80	1,475,720,100.00	1,627,112,457.90	14,521,978.00	208,249,227.50	179,112,654.00	738,286,325.08	42,629,807.33	5,816,756,015.43
Investments: Quoted equities	0.00	17,858,226.00	123,083,394.00	491,125,397.00	1,148,367,240.65	19,162,719,155.54	0.00	322,392,793.56	715,346,335.56	409,015,637.25	3,004,890,754.84	25,394,798,934.40
Unquoted equities	204,897,915.20	0.00	68,926,341.86	395,066,085.00	380,497,210.10	679,300,349.06	31,545,153.00	329,102,256.20	59,532,744.95	1,829,254,343.94	248,682,801.25	4,226,805,200.56
Bonds	0.00	0.00	0.00	0.00	16,234,964.88	83,065,768.02	0.00	25,501,077.51	396,975.00	140,722,142.09	24,547,912.97	290,468,840.47
Deferred acquisition costs	0.00	0.00	1,022,045.80	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	1,022,045.80
Other Non-Current Assets1	0.00	0.00	0.00	0.00	0.00	17,719,378.11	0.00	34,075,000.00	3,052,462,744.86	1,938,402.14	0.00	8,702,860,462.63
Other Non-Current Assets2	0.00	0.00	0.00	0.00	0.00	2,204,842.55	0.00	0.00	14,833.28	0.00	0.00	2,219,675.83
Other Non-Current Assets3	0.00	0.00	0.00	0.00	0.00	0.30	0.00	0.00	22,138.68	0.00	0.00	22,138.98
Total Non-Current Assets	340,937,302.02	1,064,205,540.00	610,118,888.85	6,978,992,755.74	3,047,033,951.70	21,629,111,232.73	81,606,973.00	3,969,653,006.76	1,081,486,375.33	3,414,141,789.03	8,917,416,213.91	51,134,704,029.07
Current Assets												
Premium Receivable	380,520.00	0.00	2,459,578.75	0.00	9,768,431.03	33,082,395.53	259,656.00	0.00	19,027,519.96	10,766,159.71	30,791,104.78	106,535,365.76
Money market Investments	0.00	0.00	4,649,707.13	43,233,172.86	55,494,684.82	151,401,641.52	147,450.00	25,113,590.53	157,635,247.13	208,598.19	21,027,251.22	458,911,343.40
Short term Investments	5,000.00	192,451.00	0.00	0.00	208,409,628.64	0.00	27,973,741.00	0.00	0.00	0.00	0.00	236,580,820.44
Other receivables	0.00	109,898.00	5,571,892.78	684,102,630.99	157,955,940.85	165,607,994.34	131,780.00	21,806,187.76	51,064,352.24	0.00	38,767,158.31	1,125,117,835.27
Cash and Bank Balances	1,188,189.00	257,171,975.00	59,121,228.86	274,408,489.49	55,573,292.40	238,299,419.46	167,678.00	9,427,871.51	87,996,002.11	79,173,707.69	95,224,130.24	1,157,751,983.76
Other Current Assets1	1,806,579.00	50,705,016.00	0.00	177,726,387.82	25,997,403.32	0.00	0.00	0.00	1,261,154.76	1,756,590.37	3,043,955.51	262,297,086.78
Other Current Assets2	0.00	112,733,280.00	0.00	453,473,205.51	0.00	0.00	1,825,967.00	0.00	15,533,446.26	0.00	50,988,458.80	634,554,357.57
Other Current Assets3	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	1,053,845.25	0.00	0.00	1,053,845.25
Total Current Assets	3,380,288.00	420,912,620.00	71,802,407.52	1,632,943,886.67	513,199,381.06	588,391,450.85	30,506,272.00	56,347,649.80	333,571,567.71	91,905,055.96	239,842,058.86	3,982,802,638.43
Total Assets	344,317,590.02	1,485,118,160.00	681,921,296.37	8,611,936,642.41	3,560,233,332.76	22,217,502,683.58	112,113,245.00	4,026,000,656.56	1,415,057,943.04	3,506,046,844.99	9,157,258,272.77	55,117,506,667.50
Liabilities												
Long (Non-Current) Liabilities												
Long Term Loans	0.00	4,784,270.00	0.00	0.00	813,359.91	0.00	0.00	0.00	0.00	0.00	0.00	-3,970,910.09
Deferred Taxation	68,740.00	6,748,106.00	0.00	335,426,935.00	33,820,806.17	114,171,714.61	0.00	155,719,526.00	0.00	0.00	14,268,545.35	660,224,373.13
Future Policyholder Funds	254,420.00	157,996,517.00	0.00	4,614,536,351.80	0.00	0.00	0.00	0.00	0.00	0.00	0.00	4,772,787,288.80
Short (Current) Liabilities												
Outstanding Claims	22,000.00	0.00	1,517,918.25	0.00	15,921,462.15	29,518,716.09	180,889.00	8,392,162.70	6,445,112.80	0.00	0.00	62,198,260.99
Claims Incurred but not Reported	1,000,844.00	0.00	0.00	0.00	0.00	188,128,535.84	0.00	0.00	84,968,887.11	0.00	0.00	274,098,266.95
Paid up policies	0.00	0.00	0.00	212,906,556.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	212,906,556.00
Investment contract liabilities	102,210.58	0.00	28,094,320.83	0.00	0.00	2,595,281,812.08	6,342,509.00	0.00	0.00	397,468,981.73	1,542,447,732.57	4,569,737,566.79
Insurance contract liabilities	62,250.00	0.00	0.00	0.00	160,626,932.53	1,153,829,838.21	0.00	0.00	10,469,411.00	2,617,933,407.10	5,311,552,641.64	9,254,474,480.48
Life Fund	0.00	0.00	92,167,086.39	0.00	2,574,237,098.68	0.00	0.00	2,189,100,402.01	0.00	0.00	14,091,015.97	4,869,595,603.05
Unearned Premium Reserve	752,803.67	0.00	790,021.61	0.00	22,132,436.66	40,810,607.91	367,319.00	0.00	17,279,702.86	0.00	0.00	82,132,891.04
Amounts Due To Reinsurers	0.00	0.00	0.00	0.00	0.00	0.00	306,576.00	3,089,740.01	18,931,489.04	0.00	0.00	22,327,805.05
Other Short Term Liabilities												
Other Liabilities1	172,229.02	-16,194,289.00	59,092.87	270,755,684.42	20,921,861.03	257,945,388.06	1,420,178.00	100,247,236.30	219,858,252.48	8,018,347.41	36,930,286.78	900,134,267.37
Other Liabilities2	0.00	12,205,994.00	125,865,279.28	0.00	213,805,703.43	10,641,858.64	5,993,960.00	5,470,576.84	106,566,139.27	19,845,503.58	29,860,828.13	530,255,843.17
Other Liabilities3	0.00	0.00	0.00	0.00	3,119,268.57	134,282,194.73	0.00	0.00	2,130,068.58	177,682,237.72	92,350,676.38	409,564,445.98
Other Liabilities4	0.00	0.00	0.00	0.00	0.00	-85,724,020.79	0.00	0.00	324,598.01	1,836,103.80	9,310,422.05	-74,252,896.93
Other Liabilities5	0.00	0.00	0.00	0.00	0.00	100,804,225.12	0.00	0.00	4,228,672.39	0.00	160,901,758.24	265,934,655.75
Other Liabilities6	0.00	0.00	0.00	0.00	0.00	96,221,035.75	0.00	0.00	1,156,421.50	0.00	1,603,385.15	98,980,842.40
Total Liabilities	2,435,496.60	155,972,058.00	248,493,719.23	5,433,625,527.22	3,045,398,929.13	4,635,911,906.25	14,611,431.00	2,462,019,643.86	472,558,755.04	3,222,784,581.34	7,213,317,292.26	26,907,129,339.93
SHARE CAPITAL AND RESERVES												
Share Capital	38.00	1,000,000.00	2.00	400,000.00	200,000.00	131,843.85	20,000.00	231,907.50	100.00	1,089,233.00	7,308.21	3,080,432.56
Share Premium	2,435,318.21	0.00	1,388,012.27	0.00	450,000.00	29,989,999.85	4,602,425.00	4,431,622.78	5,685,250.77	671,408.68	40,601,898.79	90,255,936.35
Investment Reserve	0.00	0.00	0.00	0.00	0.00	0.00	0.00	9,217,528.66	0.00	0.00	2,014,048.00	11,231,576.66
Revaluation Reserve	305,278,239.09	3,701,303.00	93,490,884.24	4,192,334,376.67	2,463,510.77	0.00	0.00	66,753,257.82	116,917,379.84	285,928,329.62	0.00	5,066,867,281.05
Non Distributable Reserve	0.00	0.00	0.00	175,935,418.61	15,186.14	33,764,276.35	0.00	0.00	0.00	101,923,517.01	0.00	311,638,398.11
Retained Earnings - Prior years	32,205,664.67	991,542,543.00	246,641,971.00	1,548,659,948.82	502,668,450.97	7,587,077,361.79	75,989,409.00	1,190,061,165.38	520,987,530.99	-106,340,187.63	0.00	11,040,653,909.17
Retained Earnings - Current year	1,962,833.45	332,902,256.00	84,229,464.31	358,301,267.88	9,037,255.75	9,930,627,295.49	16,889,980.00	293,285,530.70	298,908,926.40	0.00	1,901,317,725.50	13,227,462,535.48
Other1	0.00	0.00	2,550,000.00	0.00	0.00	0.00	0.00	0.00	0.00	-10,037.43	0.00	2,539,962.57
Other2	0.00	0.00	5,307,243.32	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	5,307,243.32
SHAREHOLDERS EQUITY	341,882,093.42	1,329,146,102.00	433,427,577.14	3,178,311,114.34	514,834,403.63	17,581,590,777.33	97,501,814.00	1,563,981,012.84	942,499,188.00	283,262,263.25	1,943,940,980.50	28,210,377,326.45
TOTAL EQUITY & LIABILITIES	344,317,590.02	1,485,118,160.00	681,921,296.37	8,611,936,642.41	3,560,233,332.76	22,217,502,683.58	112,113,245.00	4,026,000,656.70	1,415,057,943.04	3,506,046,844.99	9,157,258,272.77	55,117,506,667.50

Annexure 3: Reassurers Statement of Comprehensive Income for the Half Year ended 30 June 2021

	Baobab Reinsurance	First Mutual Re	ZEP RE-Insurance	FBC Reinsurance	Q2 2021 Totals
Gross Premium Written	149,090,288	16,307,951	34,059,128	38,128,746	237,586,113
Outward Reassurance Premium	17,587,679	2,247,546	0	19,787,404	39,622,628
Net Premium Written	131,502,609	14,060,405	34,059,128	18,341,342	197,963,485
Unearned Premiums	0	0	6,083,010	0	6,083,010
Net Earned Premium	131,502,609	14,060,405	27,976,118	18,341,342	191,880,475
Claims Paid	89,102,571	5,216,418	12,758,077	24,678,937	131,756,003
Claims Outstanding	0	0	-359	0	-359
Claims Incurred But Not Reported	6,152,628	0	5,185,024	0	11,337,652
Net Claims	95,255,199	5,216,418	17,942,742	24,678,937	143,093,296
Management Expenses	16,646,880	1,842,212	684,741	0	19,173,833
Net Fees and Commission Paid	22,021,052	1,890,010	6,040,237	3,814,459	33,765,758
Underwriting Profit/(Loss)	-2,420,522	5,111,765	3,308,399	-10,152,054	-4,152,412
Fair value adjustments (positive)	0	237,742,074	0	56,900,096	294,642,170
Dividend income	0	167,727	0	0	167,727
Other Income	1,333,108	-39,836	0	0	1,293,272
Other Income2	158,795,938	0	0	0	158,795,938
Other Income3	-326,349	0	0	0	-326,349
Administrative Expenses	0	0	0	1,326,817	1,326,817
Earnings Before Interest and Taxation	157,382,175	242,981,730	3,308,399	45,421,225	449,093,529
Interest	0	0	1,039,778	43,952	1,083,730
Earnings Before Tax	157,382,175	242,981,730	4,348,176	45,465,177	450,177,259
Taxation	13,697	0	0	11,707,283	11,720,980
Earnings After Tax	157,368,478	242,981,730	4,348,176	33,757,894	438,456,279
Total Comprehensive Profit/(Loss) for the Period	157,368,478	242,981,730	4,348,176	33,757,894	438,456,279
Total Comprehensive Profit/(Loss) Attributable to Shareholders	157,368,478	242,981,730	4,348,176	33,757,894	438,456,279

Annexure 4: Statement of Financial Position for Reassurers for Half Year ended 30 June 2021					
	Baobab Reinsurance	First Mutual Reinsurance	ZEP RE-Insurance	FBC Reinsurance	Q2 2021 Totals
Non-Current Assets					
Property and Equipment	2,159	225,133	0	32,632,696	32,859,988
Investments: Quoted equities	0	291,833,538	0	16,323,424	308,156,962
Bonds	0	4,940	30,289,641	0	30,294,581
Deferred tax asset	4,672	0	0	0	4,672
Deferred acquisition costs	0	0	2,509,544	69,669,290	72,178,834
Other Non-Current Assets1	13,033,000	0	0	0	13,033,000
Other Non-Current Assets2	7,849,797	0	0	705,361,631	713,211,428
Other Non-Current Assets3	0	0	0	82,926,829	82,926,829
Total Non-Current Assets	20,889,628	292,063,611	32,799,185	1,044,206,978	1,389,959,403
Current Assets					
Premium Receivable	0	63,290	0	0	\$ 63,290
Money market investments	0	455,000	0	3,832,660	\$ 4,287,660
Short term Investments	216,997,539	0	0	0	\$ 216,997,539
Other receivables	0	3,916,692	15,095,658	59,553	\$ 19,071,903
Cash and Bank Balances	431,461	4,835,773	0	28,284,784	\$ 33,552,018
Other Current Assets1	74,000,157	0	0	322,685,182	\$ 396,685,339
Other Current Assets2	0	0	0	384,484,676	\$ 384,484,676
Other Current Assets3	0	0	0	109,385,208	\$ 109,385,208
Total Current Assets	291,429,157	9,270,755	15,095,658	848,732,063	\$ 1,164,527,633
Total Assets	312,318,786	301,334,366	47,894,843	1,892,939,041	\$ 2,554,487,036
Liabilities					
Long (Non-Current) Liabilities					
Deferred Taxation	0	0	0	74,869,980.00	\$ 74,869,980
Short (Current) Liabilities					
Outstanding Claims	0	707,508	193,834	0	\$ 901,342
Claims Incurred but not Reported	0	536,121	9,209,007	0	\$ 9,745,128
Insurance contract liabilities	12,924,374.98	334,318	0	115,994	\$ 13,374,687
Retrocession Arrangements	6,850,824.84	0	0	0	\$ 6,850,825
Life Fund	35,979,000.00	0	0	0	\$ 35,979,000
Unearned Premium Reserve	0	0	12,025,352	33,211	\$ 12,058,563
Amounts Due To Reinsurers	0	1,355,156	0	0	\$ 1,355,156
Other Short Term Liabilities					
Other Liabilities1	587,313	195,530	0	252,251,892	\$ 253,034,735
Other Liabilities2	679,943	4,626,581	0	44,462,706	\$ 49,769,230
Other Liabilities3	0	0	0	201,575,654	\$ 201,575,654
Other Liabilities4	0	0	0	246,572,654	\$ 246,572,654
Other Liabilities5	0	0	0	324,377,302	\$ 324,377,302
Total Liabilities	57,021,456	7,755,214	21,428,193	1,144,259,393	\$ 1,230,464,256
SHARE CAPITAL AND RESERVES					
Share Capital	487,727	700	0	900,000	\$ 1,388,427
Share Premium	6,281,124	2,287,595	0	42,703,332	\$ 51,272,051
Revaluation Reserve	0	0	0	29,108,675	\$ 29,108,675
Non Distributable Reserve	0	0	0	37,351	\$ 37,351
Retained Earnings - Prior years	91,160,000	48,309,127	22,118,474	5,200,786	\$ 166,788,387
Retained Earnings - Current year	157,368,478	242,981,730	4,348,176	33,757,894	\$ 438,456,279
Other1	0	0	0	636,971,610	\$ 636,971,610
SHAREHOLDERS EQUITY	255,297,329	293,579,152	26,466,650	748,679,648	\$ 1,324,022,780
TOTAL EQUITY & LIABILITIES	312,318,786	301,334,366	47,894,843	1,892,939,041	\$ 2,554,487,036